

9:30 a.m.

Let's consider an example to understand this strategy better. At 9:30 a.m., based on the Nifty spot price, a trader sells the 18,100 call and put options. However, if either the call or put option hits the predetermined stoploss level, the trader exits that particular leg of the trade.

Add order
SELL 1x NIFTY XXXXX PUT 07 Sep

Contract
Future Call **Put**

Type
Buy **Sell**

Expiry
7 Sept 14 Sept 21 Sept 28 Sept
26 Oct 30 Nov 28 Dec 28 Mar
27 Jun

Strike	Price
xxxxx	xx
xxxxx	xx
xxxxx	xx
18,100	
xxxxx	xx
xxxxx	xx

Add order
SELL 1x NIFTY XXXXX PUT 07 Sep

Contract
Future **Call** Put

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Buy **Sell**

Expiry
7 Sept 14 Sept 21 Sept 28 Sept
26 Oct 30 Nov 28 Dec 28 Mar
27 Jun

Strike	Price
18,100	xx
xxxxx	xx
xxxxx	xx
xxxxx	xx
xxxxx	xx
xxxxx	xx

10:34 a.m.

Subsequently, at 10:34 a.m., the trader reenters the trade by selling the new ATM call or put option, placing another **stop-loss order at 25% above the entry price**.

☒	S	NIFTY 24 Apr 2017 xxxxx CE	xx.x	xxxx	x	xxxx	xxx
		QTY 50		AVG xx.x			

☒	B	NIFTY 24 Apr 2017 xxxxx CE	xx.x	xxxx	x	xxxx	xxx
		QTY 50		AVG xx.x			

☒	S	NIFTY 24 Apr 2017 xxxxx CE	xx.x	xxxx	x	xxxx	xxx
		QTY 50		AVG xx.x			

Throughout the day, a maximum of 3 trades can be executed, and all positions are closed by 3:15 p.m. since it is an intraday strategy.